BofA SECURITIES

Adobe

The users are here; monetization yet to come

Reiterate Rating: UNDERPERFORM | PO: 220.00 USD | Price: 248.83 USD

Headline beat does not resolve growth debate

Adobe's results highlight the near-term tradeoffs of its response to growing AI competition. The company delivered a modest 3Q beat, with revenue up 12.9% YoY vs. the Street's 11.9%, ARR up 11.2% vs. the Street's 10.9%, and 5c beat to non-GAAP EPS of $6.13. However, we focus on the lackluster quarter trends, challenges in monetizing AI products and highlight weak guidance for 4Q revenue growth and OM, at 40bps and 30bps below Street expectations, respectively. Strategic challenges and limited evidence of a growth inflection lead us to reiterate our Underperform and $220 PO.

Leading indicators and margins remain under pressure

Total ARR grew 11.2% YoY, or ~9% organically ex. Semrush, up only 1.5% QoQ. nnARR was down 39% YoY and RPO and cRPO growth decelerated to 8% and 9% from 13.1% and 13.1% QoQ, respectively. Trends partially reflect greater adoption of month-to-month offerings such as Firefly and Express, and together with the slowing ARR additions and shorter contract durations bring concerns over the company's ability to reaccelerate growth. The company is prioritizing MAU expansion through freemium products before converting users into paying customers, but the timing and economics of monetization remain unclear. In the interim, investments in inference, cloud and internal AI-model development are pressuring margins. We model FY26 GM and OM of 89.6% and 45%, respectively, down from 90.4% and 46.2% in FY25.

Strong adoption, but conversion remains the missing link

We see Adobe as challenged in two ways. Digital Media, ~75% of revenues, is maturing over time, with growth steadily decelerating. The company is also challenged by AI tools that reduce the skill barrier and pose long term risks to parts of the business. Adoption of Adobe's AI modules like Firefly and Express is healthy, with total MAUs exceeding 1bn, up 20% YoY, creative freemium MAUs surpassing 100mn, up 70% YoY, and AI-first ARR exceeding $650mn, up 150%. However, much of the traction comes from freemium offerings, with AI ARR representing only 2.4% of total ARR. In our view the key risk going forward is Adobe's ability to monetize these over time and convert the adoption to revenues, especially among price-sensitive non-professional customers. Further, ongoing leadership transition adds execution uncertainty at a critical stage of the AI strategy.

Estimates (Nov) (US$)	2024A	2025A	2026E	2027E	2028E
EPS	18.43	20.95	24.47	27.54	30.96
GAAP EPS	12.37	16.70	18.30	21.44	24.65
EPS Change (YoY)	14.8%	13.7%	16.8%	12.5%	12.4%
Consensus EPS (Bloomberg)			24.40	27.40	30.76
Consensus EPS (Visible Alpha)			18.00	20.86	23.71
Valuation (Nov)					
P/E	13.5x	11.9x	10.2x	9.0x	8.0x
GAAP P/E	20.1x	14.9x	13.6x	11.6x	10.1x
EV / EBITDA*	8.5x	7.8x	7.1x	6.6x	6.2x
Free Cash Flow Yield*	8.0%	10.0%	10.7%	11.6%	12.6%

* For full definitions of *iQ*method℠ measures, see page 7.

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 6. Price Objective Basis/Risk on page 6. **13016350**

Timestamp: 11 September 2026 01:59AM EDT

11 September 2026

Equity

Key Changes

(US$)	Previous	Current
2026E Rev (m)	26,531.2	26,603.8
2027E Rev (m)	28,856.9	28,958.2
2028E Rev (m)	31,357.2	31,475.0
2026E EPS	24.40	24.47
2028E EPS	31.08	30.96

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Stock Data

Price	248.83 USD
Price Objective	220.00 USD
Date Established	19-Aug-2026
Investment Opinion	B-3-9
52-Week Range	190.12 USD - 370.86 USD
Mrkt Val (mn) / Shares Out (mn)	98,910 USD / 397.5
Free Float	99.8%
Average Daily Value (mn)	1171.06 USD
BofA Ticker / Exchange	ADBE / NAS
Bloomberg / Reuters	ADBE US / ADBE.OQ
ROE (2026E)	82.9%
Net Dbt to Eqty (Nov-2025A)	6.7%

Glossary on pg. 5

iQprofile℠ Adobe

iQmethod℠ **– Bus Performance***

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	37.6%	44.3%	47.2%	48.9%	48.7%
Return on Equity	54.1%	69.5%	82.9%	83.3%	78.6%
Operating Margin	46.6%	46.2%	45.0%	44.8%	44.8%
Free Cash Flow	7,873	9,852	10,626	11,470	12,463

iQmethod℠ **– Quality of Earnings***

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.0x	1.1x	1.1x	1.1x	1.1x
Asset Replacement Ratio	0.1x	0.1x	0.1x	0.1x	0.1x
Tax Rate	19.8%	18.4%	22.6%	21.9%	21.6%
Net Debt-to-Equity Ratio	-14.1%	6.7%	9.2%	-10.2%	-30.5%
Interest Cover	NM	41.8x	47.1x	NM	NM

Income Statement Data (Nov)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	21,505	23,769	26,604	28,958	31,475
% Change	10.8%	10.5%	11.9%	8.9%	8.7%
Gross Profit	19,264	21,489	23,889	25,934	28,192
% Change	12.2%	11.6%	11.2%	8.6%	8.7%
EBITDA	11,852	12,928	14,085	15,161	16,276
% Change	11.4%	9.1%	8.9%	7.6%	7.4%
Net Interest & Other Income	142	(15)	(37)	(93)	(78)
Net Income (Adjusted)	**8,284**	**8,946**	**9,770**	**10,574**	**11,501**
% Change	**12.3%**	**8.0%**	**9.2%**	**8.2%**	**8.8%**

Free Cash Flow Data (Nov)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	5,560	7,130	7,307	8,232	9,158
Depreciation & Amortization	1,833	1,942	2,126	2,176	2,176
Change in Working Capital	(165)	(167)	(333)	92	(24)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	828	1,126	1,791	1,260	1,467
Capital Expenditure	(183)	(179)	(266)	(290)	(315)
Free Cash Flow	**7,873**	**9,852**	**10,626**	**11,470**	**12,463**
% Change	**13.4%**	**25.1%**	**7.9%**	**7.9%**	**8.7%**
Share / Issue Repurchase	(9,500)	(11,281)	(9,053)	(8,928)	(8,928)
Cost of Dividends Paid	NA	NA	NA	NA	NA
Change in Debt	0	(1,500)	(250)	0	0

Balance Sheet Data (Nov)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	7,613	5,431	5,268	7,734	11,193
Trade Receivables	2,072	2,344	2,170	2,521	2,746
Other Current Assets	1,547	2,388	2,646	2,742	2,978
Property, Plant & Equipment	1,936	1,873	1,758	1,399	1,003
Other Non-Current Assets	17,062	17,460	18,990	19,200	19,497
Total Assets	**30,230**	**29,496**	**30,830**	**33,595**	**37,417**
Short-Term Debt	1,499	0	1,597	1,597	1,597
Other Current Liabilities	9,022	10,200	10,884	12,085	13,472
Long-Term Debt	4,129	6,210	4,766	4,766	4,766
Other Non-Current Liabilities	1,475	1,463	1,629	1,713	1,741
Total Liabilities	**16,125**	**17,873**	**18,876**	**20,161**	**21,576**
Total Equity	**14,105**	**11,623**	**11,955**	**13,435**	**15,841**
Total Equity & Liabilities	**30,230**	**29,496**	**30,830**	**33,595**	**37,417**

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Software

Company Description

Adobe is a diversified software company providing cloud-based solutions across digital media, document workflows, and enterprise marketing. The company's core offerings include Creative Cloud, Document Cloud, and Experience Cloud, serving creative professionals, enterprises, and a broad base of prosumer and business users. Adobe's platforms are built around industry standards such as Photoshop and Acrobat, with increasing integration of AI capabilities across products.

Investment Rationale

We see increasing risk to Adobe's growth trajectory driven by: 1) AI compressing barriers of entry for competition from point solutions and AI-natives, 2) slowing adoption with potential seat reduction in the core creative professional market segment, and 3) AI consumption may weigh on margins and profitability. This is balanced by: 1) large Creative Cloud subscriber base 2) distribution channel & marketing personnel 3) breadth & depth of the digital content and experience software suite.

Stock Data

Average Daily Volume	4,706,264

Quarterly Earnings Estimates

	2025	2026
Q1	5.08A	6.05A
Q2	5.06A	5.97A
Q3	5.31A	6.14A
Q4	5.50A	6.33E

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3Q26 Financial Highlights

Exhibit 1: Total revenue, ARR, and EPS were above BofA expectations while GM was slightly below
Actual vs Estimated Results

Adobe Actual Versus Estimated Results	Year Ago				Actual	Estimated	Delta	QoQ	YoY
$mn, except EPS	3Q25	4Q25	1Q26	2Q26	3Q26	3Q26			
Total ARR	**24,740.0**	**25,660.0**	**26,060.0**	**27,100.0**	**27,500.0**	**27,452.3**	**47.7**	**1.5%**	**11.2%**
QoQ	2.7%	3.7%	1.6%	4.0%	1.5%	1.3%			
YoY	13.7%	13.5%	10.9%	12.5%	11.2%	11.0%			
Business Professionals & Consumers Subscription Revenue	**1,650.0**	**1,720.0**	**1,780.0**	**1,850.0**	**1,910.0**	**1,880.0**	**30.0**	**3.2%**	**15.8%**
QoQ	3.1%	4.2%	3.5%	3.9%	3.2%	1.6%			
YoY	14.6%	14.7%	16.3%	15.6%	15.8%	13.9%			
Creative & Marketing Professionals Subscription Revenue	**4,120.0**	**4,250.0**	**4,390.0**	**4,540.0**	**4,650.0**	**4,626.3**	**23.7**	**2.4%**	**12.9%**
QoQ	2.5%	3.2%	3.3%	3.4%	2.4%	1.9%			
YoY	10.8%	10.7%	12.0%	12.9%	12.9%	12.3%			
Subscription Revenue	**5,791.0**	**5,989.0**	**6,198.0**	**6,416.0**	**6,582.0**	**6,518.7**	**63.3**	**2.6%**	**13.7%**
QoQ	2.7%	3.4%	3.5%	3.5%	2.6%	1.6%			
YoY	11.8%	11.6%	13.0%	13.7%	13.7%	12.6%			
Product Revenue	**68.0**	**74.0**	**90.0**	**89.0**	**67.0**	**63.6**	**3.4**	**-24.7%**	**-1.5%**
QoQ	-22.7%	8.8%	21.6%	-1.1%	-24.7%	-28.5%			
YoY	-17.1%	-8.6%	-5.3%	1.1%	-1.5%	-6.4%			
Services and Other Revenue	**129.0**	**131.0**	**110.0**	**113.0**	**111.0**	**116.6**	**-5.6**	**-1.8%**	**-14.0%**
QoQ	-10.4%	1.6%	-16.0%	2.7%	-1.8%	3.2%			
YoY	-11.6%	-18.1%	-19.1%	-21.5%	-14.0%	-9.6%			
Total Revenue	**5,988.0**	**6,194.0**	**6,398.0**	**6,618.0**	**6,760.0**	**6,698.9**	**61.1**	**2.1%**	**12.9%**
QoQ	2.0%	3.4%	3.3%	3.4%	2.1%	1.2%			
YoY	10.7%	10.5%	12.0%	12.7%	12.9%	11.9%			
CC YoY	10%	10%	11%	11%	0%	0%			
Total Cost of Goods Sold	**569.0**	**596.0**	**629.0**	**669.0**	**710.0**	**689.4**	**20.6**	**6.1%**	**24.8%**
Gross Profit	**5,419.0**	**5,598.0**	**5,769.0**	**5,949.0**	**6,050.0**	**6,009.5**	**40.5**	**1.7%**	**11.6%**
Gross Margin	**90.5%**	**90.4%**	**90.2%**	**89.9%**	**89.5%**	**89.7%**	**-0.2%**	**-39bps**	**-100bps**
R&D	834.0	836.0	834.0	908.0	1,003.6	926.2	77.4	10.5%	20.3%
S&M	1,470.0	1,581.0	1,502.0	1,619.0	1,652.1	1,649.8	2.3	2.0%	12.4%
G&A	342.0	357.0	398.0	477.0	420.3	486.5	-66.2	-11.9%	22.9%
Total Operating Expenses	**2,646.0**	**2,774.0**	**2,734.0**	**3,004.0**	**3,076.0**	**3,062.5**	**13.5**	**2.4%**	**16.3%**
Operating Income	**2,773.0**	**2,824.0**	**3,035.0**	**2,945.0**	**2,974.0**	**2,947.0**	**27.0**	**1.0%**	**7.2%**
QoQ	3.7%	1.8%	7.5%	-3.0%	1.0%	0.1%			
YoY	10.3%	8.8%	11.8%	10.1%	7.2%	6.3%			
Operating Margin	**46.3%**	**45.6%**	**47.4%**	**44.5%**	**44.0%**	**44.0%**	**0.0%**	**-50bps**	**-231bps**
Interest Expense	(67.0)	(66.0)	(63.0)	(65.0)	(66.0)	(65.0)	-1.0	1.5%	-1.5%
Other Income	58.0	57.0	62.0	47.0	48.0	47.0	1.0	2.1%	-17.2%
Pre-Tax Income	2,764.0	2,815.0	3,034.0	2,927.0	2,956.0	2,929.0	27.0	1.0%	6.9%
Income Taxes	512.0	521.0	546.0	527.0	532.0	527.2	4.8	0.9%	3.9%
Net Income	**2,252.0**	**2,294.0**	**2,488.0**	**2,400.0**	**2,424.0**	**2,401.8**	22.2	1.0%	7.6%
EPS	**$ 5.31**	**$ 5.50**	**$ 6.05**	**$ 5.96**	**$ 6.13**	**$ 6.08**	$ 0.05	2.8%	15.4%
YoY	14.4%	14.3%	19.2%	17.8%	15.4%	14.5%			

Source: BofA Global Research estimates, company report

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Exhibit 2: We fine-tune our estimates to be more streamlined with guidance
Summary of model changes

Summary of Model Changes	Sales			Gross Margin			Operating Margin			EPS			Free Cash Flow		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
FY26															
1Q26	$6,398.0	$6,398.0	$0.0	90.2%	90.2%	0 bps	47.4%	47.4%	0 bps	$6.05	$6.05	$0.00	$2,921.0	$2,921.0	$0.00
2Q26	$6,618.0	$6,618.0	$0.0	89.9%	89.9%	0 bps	44.5%	44.5%	0 bps	$5.96	$5.96	$0.00	$2,107.0	$2,107.0	$0.00
3Q26	$6,698.9	$6,760.0	$61.1	89.7%	89.5%	-21 bps	44.0%	44.0%	0 bps	$6.08	$6.13	$0.05	$2,165.5	$2,438.0	$272.47
4Q26	$6,816.3	$6,827.8	$11.5	89.7%	89.6%	-7 bps	44.3%	44.0%	-33 bps	$6.30	$6.33	$0.03	$3,129.4	$3,159.6	$30.18
Total	**$26,531.2**	**$26,603.8**	**$72.6**	**89.9%**	**89.8%**	**-7 bps**	**45.0%**	**45.0%**	**-8 bps**	**$24.40**	**$24.47**	**$0.08**	**$10,323.0**	**$10,625.6**	**$302.65**
FY27															
1Q27	$6,971.7	$6,991.7	$20.1	89.6%	89.6%	8 bps	46.2%	45.9%	-31 bps	$6.76	$6.74	-$0.03	$2,811.7	$2,838.9	$27.25
2Q27	$7,197.3	$7,206.5	$9.2	89.5%	89.6%	5 bps	44.7%	44.5%	-16 bps	$6.79	$6.77	-$0.02	$2,507.8	$2,584.6	$76.87
3Q27	$7,273.0	$7,340.0	$67.1	89.4%	89.5%	4 bps	44.7%	44.4%	-23 bps	$6.90	$6.93	$0.03	$2,522.4	$2,622.3	$99.90
4Q27	$7,414.9	$7,420.0	$5.1	89.5%	89.6%	7 bps	44.7%	44.6%	-13 bps	$7.09	$7.11	$0.02	$3,318.9	$3,424.2	$105.26
Total	**$28,856.9**	**$28,958.2**	**$101.4**	**89.5%**	**89.6%**	**6 bps**	**45.1%**	**44.8%**	**-21 bps**	**$27.54**	**$27.54**	**$0.00**	**$11,160.7**	**$11,470.0**	**$309.29**
FY28															
1Q28	$7,586.1	$7,600.8	$14.6	89.7%	89.7%	5 bps	45.6%	45.5%	-16 bps	$7.54	$7.50	-$0.04	$3,095.6	$3,142.3	$46.68
2Q28	$7,813.2	$7,828.2	$15.1	89.6%	89.5%	-3 bps	44.8%	44.6%	-22 bps	$7.63	$7.61	-$0.02	$2,832.0	$2,828.5	-$3.52
3Q28	$7,902.0	$7,961.9	$60.0	89.5%	89.5%	6 bps	44.8%	44.5%	-35 bps	$7.81	$7.79	-$0.02	$2,675.9	$2,716.4	$40.51
4Q28	$8,055.9	$8,084.0	$28.1	89.5%	89.5%	6 bps	44.8%	44.7%	-16 bps	$8.10	$8.07	-$0.04	$3,641.8	$3,775.9	$134.08
Total	**$31,357.2**	**$31,475.0**	**$117.8**	**89.5%**	**89.6%**	**3 bps**	**45.0%**	**44.8%**	**-22 bps**	**$31.08**	**$30.96**	**-$0.12**	**$12,245.3**	**$12,463.1**	**$217.76**

Source: BofA Global Research estimates, company report

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Exhibit 3: Summary of Key Financials

Income Statement

Income Statement	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	1Q28	2Q28	3Q28	4Q28	FY25	FY26	FY27	FY28
Business Professionals & Consumers Subscription Revenue	1,780.0	1,850.0	1,910.0	1,940.6	1,998.8	2,068.7	2,130.8	2,162.8	2,227.6	2,305.6	2,372.5	2,400.9	6,500.0	7,480.6	8,361.1	9,306.7
YoY Growth (%)	16.3%	15.6%	15.8%	12.8%	12.3%	11.8%	11.6%	11.5%	11.5%	11.5%	11.3%	11.0%	14.6%	15.1%	11.8%	11.3%
Creative & Marketing Professionals Subscription Revenue	4,390.0	4,540.0	4,650.0	4,677.9	4,790.2	4,933.9	5,022.7	5,067.9	5,219.9	5,360.9	5,468.1	5,550.1	16,310.0	18,257.9	19,814.6	21,599.0
YoY Growth (%)	12.0%	12.9%	12.9%	10.1%	9.1%	8.7%	8.0%	8.3%	9.0%	8.7%	8.9%	9.5%	10.6%	11.9%	8.5%	9.0%
Subscription Revenue	6,198.0	6,416.0	6,582.0	6,634.7	6,793.9	7,011.3	7,151.5	7,240.9	7,436.4	7,659.5	7,812.7	7,929.9	22,904.0	25,830.7	28,197.6	30,838.5
Product Revenue	90.0	89.0	67.0	67.7	81.2	82.0	69.7	66.2	72.9	75.0	55.5	60.0	325.0	313.7	299.2	263.4
Services and Other Revenue	110.0	113.0	111.0	125.4	116.6	113.2	118.8	112.9	91.4	93.7	93.7	94.2	540.0	459.4	461.5	373.0
Total Revenue	**6,398.0**	**6,618.0**	**6,760.0**	**6,827.8**	**6,991.7**	**7,206.5**	**7,340.0**	**7,420.0**	**7,600.8**	**7,828.2**	**7,961.9**	**8,084.0**	**23,769.0**	**26,603.8**	**28,958.2**	**31,475.0**
YoY Growth (%)	12.0%	12.7%	12.9%	10.2%	9.3%	8.9%	8.6%	8.7%	8.7%	8.6%	8.5%	8.9%	10.5%	11.9%	8.9%	8.7%
Total Cost of Goods Sold	**629.0**	**669.0**	**710.0**	**707.2**	**724.7**	**751.9**	**772.5**	**775.2**	**782.1**	**820.5**	**833.7**	**846.4**	**2,280.0**	**2,715.2**	**3,024.2**	**3,282.6**
Gross Profit	**5,769.0**	**5,949.0**	**6,050.0**	**6,120.6**	**6,267.0**	**6,454.6**	**6,567.6**	**6,644.8**	**6,818.6**	**7,007.8**	**7,128.3**	**7,237.6**	**21,489.0**	**23,888.6**	**25,934.0**	**28,192.3**
Gross Margin	**90.2%**	**89.9%**	**89.5%**	**89.6%**	**89.6%**	**89.6%**	**89.5%**	**89.6%**	**89.7%**	**89.5%**	**89.5%**	**89.5%**	**90.4%**	**89.8%**	**89.6%**	**89.6%**
R&D	834.0	908.0	1,003.6	1,022.7	997.1	1,046.9	1,088.8	1,077.9	1,070.4	1,102.5	1,135.6	1,146.9	3,284.0	3,768.2	4,210.8	4,455.4
S&M	1,502.0	1,619.0	1,652.1	1,668.6	1,635.2	1,749.7	1,758.4	1,788.3	1,806.2	1,896.5	1,934.5	1,953.8	5,899.0	6,441.7	6,931.7	7,591.0
G&A	398.0	477.0	420.3	424.5	424.5	450.0	459.0	472.8	487.0	516.2	516.2	526.5	1,320.0	1,719.9	1,806.3	2,045.8
Total Operating Expenses	**2,734.0**	**3,004.0**	**3,076.0**	**3,115.8**	**3,056.9**	**3,246.6**	**3,306.3**	**3,339.0**	**3,363.6**	**3,515.2**	**3,586.2**	**3,627.2**	**10,503.0**	**11,929.8**	**12,948.8**	**14,092.2**
Operating Income	**3,035.0**	**2,945.0**	**2,974.0**	**3,004.8**	**3,210.2**	**3,207.9**	**3,261.3**	**3,305.8**	**3,455.1**	**3,492.6**	**3,542.1**	**3,610.4**	**10,986.0**	**11,958.8**	**12,985.2**	**14,100.1**
Operating Margin	**47.4%**	**44.5%**	**44.0%**	**44.0%**	**45.9%**	**44.5%**	**44.4%**	**44.6%**	**45.5%**	**44.6%**	**44.5%**	**44.7%**	**46.2%**	**45.0%**	**44.8%**	**44.8%**
Interest Expense	(63.0)	(65.0)	(66.0)	(60.0)	(65.0)	(65.0)	(63.0)	(55.0)	(65.0)	(65.0)	(60.0)	(60.0)	(263.0)	(254.0)	(248.0)	(250.0)
Other Income	62.0	47.0	48.0	60.0	40.0	40.0	40.0	35.0	40.0	50.0	42.0	40.0	248.0	217.0	155.0	172.0
Pre-Tax Income	3,034.0	2,927.0	2,956.0	3,004.8	3,185.2	3,182.9	3,238.3	3,285.8	3,430.1	3,477.6	3,524.1	3,590.4	10,971.0	11,921.8	12,892.2	14,022.1
Income Taxes	546.0	527.0	532.0	540.9	573.3	572.9	582.9	591.4	617.4	626.0	634.3	646.3	2,030.0	2,145.9	2,320.6	2,524.0
Net Income	**2,488.0**	**2,400.0**	**2,424.0**	**2,463.9**	**2,611.8**	**2,610.0**	**2,655.4**	**2,694.3**	**2,812.7**	**2,851.6**	**2,889.7**	**2,944.1**	**8,941.0**	**9,775.9**	**10,571.6**	**11,498.1**
Non-GAAP EPS, Diluted	**$ 6.05**	**$ 5.96**	**$ 6.13**	**$ 6.33**	**$ 6.74**	**$ 6.77**	**$ 6.93**	**$ 7.11**	**$ 7.50**	**$ 7.61**	**$ 7.79**	**$ 8.07**	**$ 20.95**	**$ 24.47**	**$ 27.54**	**$ 30.96**
Diluted Shares Outstanding	411	402	395	389	388	386	383	379	375	375	371	365	427	399	384	371
Margin Analysis																
Gross Margin	90.2%	89.9%	89.5%	89.6%	89.6%	89.6%	89.5%	89.6%	89.7%	89.5%	89.5%	89.5%	90.4%	89.8%	89.6%	89.6%
Operating Margin	47.4%	44.5%	44.0%	44.0%	45.9%	44.5%	44.4%	44.6%	45.5%	44.6%	44.5%	44.7%	46.2%	45.0%	44.8%	44.8%
Net Margin	38.9%	36.3%	35.9%	36.1%	37.4%	36.2%	36.2%	36.3%	37.0%	36.4%	36.3%	36.4%	37.6%	36.7%	36.5%	36.5%
Tax Rate	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.5%	18.0%	18.0%	18.0%
YoY Growth																
Total Revenue	12.0%	12.7%	12.9%	10.2%	9.3%	8.9%	8.6%	8.7%	8.7%	8.6%	8.5%	8.9%	10.5%	11.9%	8.9%	8.7%
Gross Profit	11.7%	12.1%	11.6%	9.3%	8.6%	8.5%	8.6%	8.6%	8.8%	8.6%	8.5%	8.9%	11.6%	11.2%	8.6%	8.7%
Total Operating Expenses	11.6%	14.0%	16.3%	12.3%	11.8%	8.1%	7.5%	7.2%	10.0%	8.3%	8.5%	8.6%	13.6%	13.6%	8.5%	8.8%
Operating Income	11.8%	10.1%	7.2%	6.4%	5.8%	8.9%	9.7%	10.0%	7.6%	8.9%	8.6%	9.2%	9.7%	8.9%	8.6%	8.6%
Net Income	11.9%	10.5%	7.6%	7.4%	5.0%	8.8%	9.5%	9.4%	7.7%	9.3%	8.8%	9.3%	8.0%	9.3%	8.1%	8.8%
EPS	19.2%	17.8%	15.4%	15.1%	11.3%	13.6%	13.0%	12.2%	11.4%	12.4%	12.5%	13.5%	13.7%	16.8%	12.5%	12.4%
QoQ Growth																
Total Revenue	3.3%	3.4%	2.1%	1.0%	2.4%	3.1%	1.9%	1.1%	2.4%	3.0%	1.7%	1.5%				
Gross Profit	3.1%	3.1%	1.7%	1.2%	2.4%	3.0%	1.8%	1.2%	2.6%	2.8%	1.7%	1.5%				
Total Operating Expenses	-1.4%	9.9%	2.4%	1.3%	-1.9%	6.2%	1.8%	1.0%	0.7%	4.5%	2.0%	1.1%				
Operating Income	7.5%	-3.0%	1.0%	1.0%	6.8%	-0.1%	1.7%	1.4%	4.5%	1.1%	1.4%	1.9%				
Net Income	8.5%	-3.5%	1.0%	1.6%	6.0%	-0.1%	1.7%	1.5%	4.4%	1.4%	1.3%	1.9%				
EPS	10.0%	-1.5%	2.8%	3.4%	6.3%	0.5%	2.3%	2.7%	5.5%	1.4%	2.4%	3.6%				

Source: BofA Global Research estimates, company report

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Glossary

- AEM - Adobe Experience Manager
- AEP - Adobe Experience Platform
- AI - Artificial Intelligence
- ARPU - Average Revenue Per User
- ARR - Annual Recurring Revenue
- BPC - Business Professionals & Consumers
- CC - Creative Cloud
- CDP - Customer Data Platform
- CMP - Creative & Marketing Professionals
- CX - Customer Experience
- DC - Document Cloud
- DX - Digital Experience
- FCF - Free Cash Flow
- GenAI - Generative Artificial Intelligence
- GM - Gross Margin
- LLM - Large Language Model
- MAU - Monthly Active Users
- nnARR – Net New Annual Recurring Revenue
- OM - Operating Margin
- QoQ - Quarter-over-Quarter
- UI - User Interface
- UX - User Experience
- WAU - Weekly Active Users
- YoY- Year-over-Year

Price objective basis & risk

Adobe (ADBE)

Our PO of $220 is based on an EV/FCF multiple of 8x our CY27E free cash flow estimate benchmarked against the 9.7x average multiple for a broad set of software peers (discount justified by the company's weaker revenue growth), reflecting a more muted growth outlook, increasing competitive pressure from point solutions and AI-native entrants, and an AI monetization strategy that we view as primarily defensive rather than accretive at this stage.

Downside risks to our PO are 1) faster-than-expected disruption from AI-native and lower-cost competitors, particularly in lower-end and prosumer use cases, 2) weaker-than-expected conversion of AI-driven engagement into durable, high-quality ARR, resulting in further pressure on growth and monetization, and 3) incremental pressure on the seat-based model, including potential cannibalization of higher-margin legacy revenue streams.

Upside risks to our PO are 1) stronger-than-expected AI monetization, with consumption and enterprise adoption scaling faster than anticipated, and 2) sustained resilience in professional and enterprise workflows, supporting pricing power and seat expansion.

Analyst Certification

I, Tal Liani, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Akamai	AKAM	AKAM US	Tal Liani
	Amdocs	DOX	DOX US	Tal Liani
	Arista Networks	ANET	ANET US	Tal Liani
	Asana	ASAN	ASAN US	Matt Bullock
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Autodesk	ADSK	ADSK US	Tomer Zilberman
	Bentley Systems	BSY	BSY US	Tomer Zilberman
	Box Inc	BOX	BOX US	Matt Bullock
	Ciena	CIEN	CIEN US	Tal Liani
	Cisco Systems	CSCO	CSCO US	Tal Liani
	Cloudflare	NET	NET US	Tal Liani
	Coreweave	CRWV	CRWV US	Tal Liani
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	Extreme Networks, Inc.	EXTR	EXTR US	Tomer Zilberman
	Figma	FIG	FIG US	Tal Liani
	Fortinet	FTNT	FTNT US	Tal Liani
	Global-e Online Ltd.	GLBE	GLBE US	Matt Bullock
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Tal Liani
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Motorola Solutions	MSI	MSI US	Tomer Zilberman
	Nebius Group N.V.	NBIS	NBIS US	Tal Liani
	Oracle Corporation	ORCL	ORCL US	Tal Liani
	Palo Alto Networks	PANW	PANW US	Tal Liani
	Samsara	IOT	IOT US	Matt Bullock
	SentinelOne, Inc.	S	S US	Tal Liani
	ServiceNow	NOW	NOW US	Tal Liani
	Shopify, Inc.	SHOP	SHOP US	Tal Liani
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA

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US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	Zeta Global	ZETA	ZETA US	Matt Bullock
	Zoom Communications	ZM	ZM US	Matt Bullock
	Zscaler	ZS	ZS US	Tal Liani
NEUTRAL				
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Check Point Software Technologies	CHKP	CHKP US	Tal Liani
	CrowdStrike Holdings Inc.	CRWD	CRWD US	Tal Liani
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA
	Intuit	INTU	INTU US	Tal Liani
	Monday.com	MNDY	MNDY US	Matt Bullock
	Okta Inc	OKTA	OKTA US	Tal Liani
	SailPoint	SAIL	SAIL US	Tal Liani
	Workday Inc.	WDAY	WDAY US	Tal Liani
UNDERPERFORM				
	Adobe	ADBE	ADBE US	Tal Liani
	BlackLine, Inc.	BL	BL US	Tomer Zilberman
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Docusign Inc	DOCU	DOCU US	Matt Bullock
	Dropbox	DBX	DBX US	Matt Bullock
	F5 Inc	FFIV	FFIV US	Tal Liani
	Fastly	FSLY	FSLY US	Tal Liani
	HubSpot, Inc.	HUBS	HUBS US	Matt Bullock
	Lightspeed Commerce Inc.	LSPD	LSPD US	Matt Bullock
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Matt Bullock
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Salesforce Inc	CRM	CRM US	Tal Liani
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Matt Bullock

*iQ*method℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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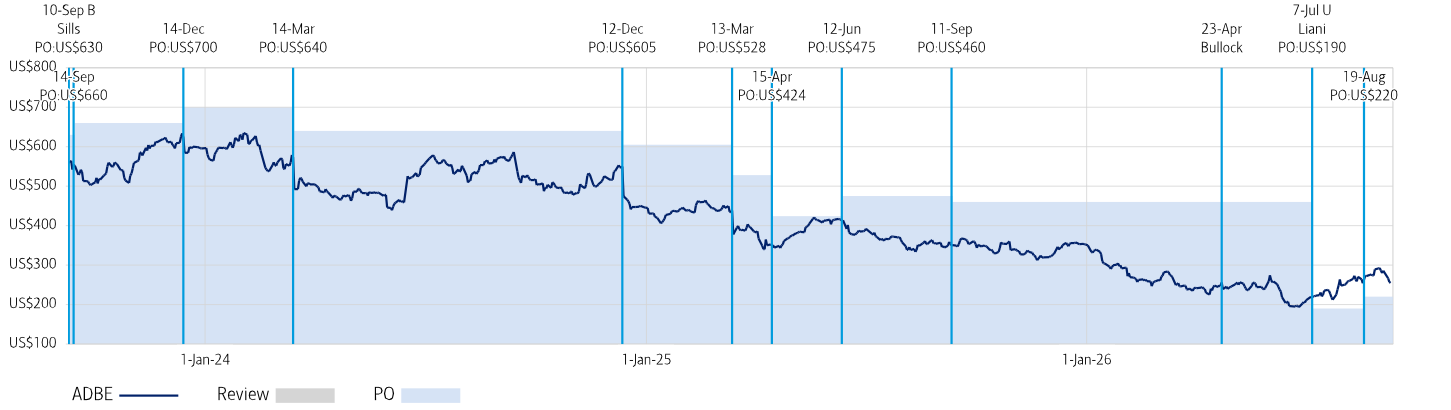
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Disclosures

Important Disclosures

Adobe (ADBE) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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